

Table 69.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 41%, M 38%, H 36%	L 33%, M 28%, H 31%
Throwbacks occurrence	55%	58%
Average time to throwback peaks	11% in 7 days	15% in 7 days
Average time to throwback ends	13 days	13 days
Average rise for patterns with throwbacks	35%	28%
Average rise for patterns without throwbacks	45%	37%
Percentage price resumes trend	53%	41%
Performance with breakout day gap	45%	31%
Performance without breakout day gap	38%	35%
Average gap size	\$0.58	\$0.53

Table 69.4 shows breakout and post-breakout statistics.

Breakout direction. By definition, the breakout direction from a V-bottom is upward. If it doesn't have an upward breakout, then it's not a V-bottom. The breakout occurs when price retraces at least 38.2% of the drop from the top of the pattern to the bottom of the V.

Yearly position, performance. I sorted the breakout price into where it occurs in the yearly high–low price range, then mapped performance on top of it. For both bull and bear markets, the best performing V-bottoms have the breakout price within a third of the yearly low.

Bull markets have the worst performance if the breakout is near the yearly high. Bear market V-bottoms hate the middle third of the price range.

Throwbacks. Throwbacks should be rare in this chart pattern if the V-bottom worked as we hoped. That is, price should not pause on the recovery